7.8.4 Calls in arrear

When a shareholder fails to pay the amount due on allotment or on calls, the amount remaining unpaid is known as calls in arrears. In other words, the amount called up but not paid is calls in arrear.

As per Table F of the Indian Companies Act, 2013, interest may be charged on calls in arrear if Articles of Association so provide not exceeding 10% per annum.
There are two methods of accounting of calls in arrear.

(i) By not opening calls in arrear account

Under this method, amount unpaid by the shareholders remains in the respective call account until the amount is collected or the shares are forfeited.

(ii) By opening calls in arrear account

Under this method, amount unpaid by the shareholders is transferred by debiting it to a separate account called calls in arrear account. When calls in arrear is collected or when the share is forfeited, the calls in arrear account is credited.

Illustration 7

Jeyam Tyres issued 15,000 ordinary shares of ₹ 10 each payable as follows:
₹ 3 on application; ₹ 5 on allotment; ₹ 2 on first and final call. All money were duly received except one shareholder holding 100 shares failed to pay the call money. Pass the necessary journal entries for call (using calls in arrear account).

Solution

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Equity share first and final call A/c (15,000 × 2)	Dr.		30,000	
	To Share capital A/c				30,000
	(Share first and final call money due)				
	Bank A/c (14,900 × 2)	Dr.		29,800	
	Calls in arrear A/c (100 × 2)	Dr.		200	
	To Equity share first and final call A/c				30,000
	(Amount received on calls and amount not received transferred to calls in arrear account)				

7.8.5 Forfeiture of shares

When a shareholder defaults in making payment of allotment and/or call money, the shares may be forfeited. On forfeiture, the share allotment is cancelled and to that extent, share capital is reduced. The person ceases to be a shareholder of the company after the shares are forfeited.

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